

FUTURE CFO_DP · DAILY TEACHING CASE

Repo at 5.50%: The First Hike Since February 2023

How a composite consumer CFO prices a 25 basis-point turn, a calibrated-tightening stance, and a 15 October reset.

Date of case: 9 October 2026. Decision window: board pack for 16 October 2026.

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Brand: Future CFO_DP. Tagline: Preparing business students for the AI-powered economy.

Status of facts: policy numbers below are drawn from public RBI releases and same-day reporting. Malabar Consumer Products Ltd and Meera Iyer are composite teaching devices. They are not real issuers and their figures are not statutory accounts.

Abstract

On 7 October 2026 the Monetary Policy Committee of the Reserve Bank of India, chaired by Governor Sanjay Malhotra, voted unanimously to raise the policy repo rate under the liquidity adjustment facility by 25 basis points to 5.50 percent. The standing deposit facility rate was adjusted to 5.25 percent. The marginal standing facility rate and the Bank Rate were adjusted to 5.75 percent. The stance was changed from neutral to calibrated tightening. Business Standard reported the stance vote as four to two. The Hindu described the move as the first repo increase since February 2023, after an easing cycle of 125 basis points from 6.50 percent to 5.25 percent, the last cut having come in December 2025, followed by four holds.

The same day the Reserve Bank raised its FY27 real GDP forecast to 7.1 percent from 6.7 percent and its FY27 CPI projection to 5.2 percent from 5.0 percent. The Governor said headline CPI was expected to average almost 5.8 percent over the next three quarters, with core inflation projected at 4.4 percent for the financial year. Mint reported forex reserves of 734.6 billion dollars as of 2 October, about eleven months of import cover and 94.4 percent of external debt, net FDI of 13.8 billion dollars in April–August against 9.6 billion a year earlier, FPI outflows of 10.3 billion dollars, and bank credit growth of 18.1 percent. Deputy Governor Swaminathan J, as reported by BusinessLine, put credit growth at 18–19 percent against a 12–14 percent range generally seen as sustainable.

The case places a composite CFO, Meera Iyer of Malabar Consumer Products Ltd, in front of a 15 October reset on a 1,200 crore rupee floating facility. Students must measure the interest bill, test the covenant, and choose among a fixed refinance, a partial swap, and a written pause case. The case does not prescribe the hedge.

1. The opening

Meera Iyer reached the treasury floor at 7.40 on the morning of Thursday, 9 October 2026, with a printed copy of the Reserve Bank's resolution and a pencil mark next to one sentence. Cuts were off the

table in the near term. Policy action ahead could only be a hike or a pause. The sentence was not a forecast she could book. It was a constraint she had to explain.

Malabar's floating facility resets on 15 October. The audit committee meets the board on 16 October and has asked for one page: the rupee cost of doing nothing, the cost of locking, and the sentence the firm will use in half-year commentary. Meera has used a model to draft the page. She has not yet decided which paragraph she will defend.

The firm is a classroom composite. It makes packaged foods and home-care products, sold through general trade and modern retail, with a festival quarter that always stretches debtor days. Nothing in the capital structure below should be read as the accounts of a named Indian company.

2. What the committee decided

The MPC held its 63rd meeting from 5 to 7 October 2026. Members attending, as named in the resolution, were Dr Nagesh Kumar, Shri Saugata Bhattacharya, Prof. Ram Singh, Dr Poonam Gupta and Shri Indranil Bhattacharyya, with the Governor in the chair. After assessing evolving macroeconomic and financial developments, the committee voted unanimously to increase the policy repo rate by 25 basis points to 5.50 percent. The SDF rate stands at 5.25 percent. The MSF rate and the Bank Rate stand at 5.75 percent. The stance changed to calibrated tightening.

The resolution is careful about what the stance does and does not promise. It signals that, given current conditions, rate cuts are off the table in the near term, and that the next action can only be a hike or a pause, depending on conditions and the outlook. The duration and extent of any hike cycle would depend on growth-inflation developments, underlying inflation, the broadening of price pressures, second-round effects of the supply shock, and the impact of demand impulses. A CFO who treats "calibrated tightening" as a promised path of 25 basis points a meeting is reading a label as a calendar.

Business Standard, reporting on 7 October, called the move the first rate hike since February 2023 and said four members backed the change in stance. The Hindu recorded the earlier easing: the repo, cut to 5.25 percent in December 2025, had been held at the next four meetings, after a 125 basis-point easing from 6.50 percent. A conflicting secondary note from early October that described a hold at 5.25 percent is not used here. The primary source is the RBI resolution and the Governor's statement of 7 October 2026.

3. Why the hike arrived with a stronger growth forecast

The uncomfortable fact for a student who still thinks of rate hikes as recession tools is that the Reserve Bank raised growth and inflation together. BusinessLine and Businessworld reported the FY27 real GDP projection lifted to 7.1 percent from 6.7 percent. Businessworld set out a quarterly path of 7.2 percent in Q2 FY27, 6.9 percent in Q3 and 6.8 percent in Q4. Real GDP growth for Q1 of 2027–28 was projected at 7.1 percent, with risks evenly balanced, in the BusinessLine account of the statement.

Inflation is the reason the stance moved. The Governor's statement, as carried by the RBI press release and by contemporaneous reports, said inflation and its outlook were not as benign as last year, with headline CPI expected to average almost 5.8 percent in the next three quarters and core inflation projected at 4.4 percent for the financial year. The FY27 CPI projection was raised to 5.2 percent from

5.0 percent. CNBC-TV18 published a quarterly inflation path of 4.9 percent in Q2, 6.0 percent in Q3, 5.7 percent in Q4, and 5.6 percent in Q1 FY28, against earlier forecasts of 4.7, 5.9, 5.5 and 5.3 percent. Core for FY27 was put at 4.4 percent, up from an earlier 4.3 percent.

The August print was the visible turn. BusinessLine, citing the Governor, reported CPI inflation at 4.8 percent in August 2026, up from 4.5 percent in July, led by food and fuel, with core also picking up. CNBC-TV18 gave a finer reading of 4.82 percent from 4.45 percent and called it a 22-month high. This case uses the Governor's rounded figures of 4.8 and 4.5 when speaking in his voice, and notes the finer print as a wire-service reading. Either way, the direction is the same: broader, not narrower.

For Malabar the distinction matters. A food-led spike that mean-reverts is a margin story for a packaged-foods firm and a pass-through story for pricing. A core pickup is a discount-rate story for the treasury. The committee hiked because it saw both.

4. The external account and the credit book

Mint's account of the Governor's remarks on global financials put foreign-exchange reserves at 734.6 billion dollars as of 2 October 2026, providing around eleven months of import cover and covering 94.4 percent of external debt. Net FDI inflows rose to 13.8 billion dollars between April and August 2026, from 9.6 billion dollars in the same period a year earlier, on higher gross inflows and slower outward FDI. The same report put FPI outflows at 10.3 billion dollars. The Reserve Bank said it would continue to facilitate an orderly adjustment of the exchange rate in line with fundamentals while curbing excessive volatility.

Students should not collapse these into one "external comfort" sentence. Reserves and FDI say the balance of payments can absorb a shock. Portfolio outflows say the marginal foreign buyer of Indian risk is not leaning in. A rupee borrower with a domestic floating facility does not pay the FPI flow directly. The borrower pays the domestic curve, which is what moved on 7 October.

Credit is the domestic constraint. Mint reported bank credit growth of 18.1 percent. In the post-policy press conference covered by BusinessLine, Deputy Governor Swaminathan J said credit growth was already running at a robust 18 to 19 percent, and that over the long term a growth rate of 12 to 14 percent is generally seen as sustainable and supportive of economic growth. He also cautioned that banks should undertake proper due diligence and use FCNR(B) deposits prudently, and that surplus liquidity should not be treated as a long-term condition. The transmission of the hike, BusinessLine reported, is expected to temper credit growth in coming quarters.

That is the sentence Meera underlines for working capital. A system growing credit at nearly double the sustainable range will not hand every October festival line the same sanction it handed in June. Malabar can be inside its interest covenant and still short of drawing power.

5. The money market on the day

The Reserve Bank's money-market operations release dated 8 October, for operations as on 7 October 2026, lets a student see the corridor rather than imagine it. Overnight segment volume (one leg) was 7,06,316.72 crore rupees, weighted average rate 5.33 percent, range 4.00 to 5.70. Call money was 13,337.07 crore at 5.36 percent. Triparty repo was 5,05,051.35 crore at 5.32 percent. Market repo was

1,82,624.75 crore at 5.33 percent. Repo in corporate bonds was a thin 5,303.55 crore at 5.50 percent.

On the Reserve Bank's own book that day, the one-day variable-rate reverse repo took 2,55,827 crore rupees at a cut-off of 5.49 percent. MSF was 500 crore at 5.75 percent. SDF absorption was 1,72,267 crore at 5.25 percent. Net liquidity absorbed from the day's operations was 4,27,594 crore rupees. The policy rate had just been set at 5.50 percent. The weighted overnight market was still a little below it. The absorption rate sat on the new SDF. A treasurer who says "the hike has not transmitted" is half right about the weighted average and wrong about the corridor the bank will use on a reset.

Exhibit 1. Policy corridor after 7 October 2026

Instrument	Rate	Vote / note
Policy repo (LAF)	5.50%	Unanimous, +25 bps
Standing deposit facility	5.25%	Adjusted with the repo
MSF and Bank Rate	5.75%	Adjusted with the repo
Stance	Calibrated tightening	4–2, per Business Standard
Near-term menu	Hike or pause	Cuts off the table, Governor

Sources: RBI Monetary Policy Statement, 7 October 2026; Business Standard, 7 October 2026.

Exhibit 2. Forecasts revised on 7 October 2026

Item	New	Earlier
FY27 real GDP	7.1%	6.7%
Q2 / Q3 / Q4 FY27 GDP	7.2 / 6.9 / 6.8%	—
FY27 CPI	5.2%	5.0%
Q2 / Q3 / Q4 FY27 CPI	4.9 / 6.0 / 5.7%	4.7 / 5.9 / 5.5%
Q1 FY28 CPI	5.6%	5.3%
Core CPI, FY27	4.4%	4.3%
Next three quarters, headline	~5.8% average	Governor's statement

Sources: BusinessLine; Businessworld; CNBC-TV18; RBI Governor's statement, 7 October 2026. Quarterly CPI path as published by CNBC-TV18.

Exhibit 3. Money market, 7 October 2026

Segment	Volume (■ crore)	Weighted average / cut-off
Overnight (one leg)	7,06,316.72	5.33%
Call money	13,337.07	5.36%
Triparty repo	5,05,051.35	5.32%
Market repo	1,82,624.75	5.33%
SDF absorption	1,72,267	5.25%
1-day variable-rate reverse repo	2,55,827	5.49% cut-off
MSF	500	5.75%

Source: RBI, Money Market Operations as on 7 October 2026, release dated 8 October 2026.

6. Malabar Consumer Products Ltd — a composite

Malabar is constructed so that the policy facts have a balance sheet to land on. It is not a disguised real company. Revenue last year, for the case, is 4,800 crore rupees. Profit before tax is 310 crore. Net debt is 1,600 crore. Cash and equivalents are 180 crore. Debtor days are 52. Inventory days are 41. Payable days are 47. The interest coverage ratio, EBIT over interest, is 5.4 times. The facility covenant is 4.0 times, tested quarterly, with equity cure unused.

Of the net debt, 1,200 crore is a floating rupee facility syndicated with a domestic bank. Four hundred crore is working capital, priced at repo plus 165 basis points, drawable against stock and book debts, with a 20 percent margin. Eight hundred crore is a term loan priced at the three-month treasury bill plus 180 basis points, amortising over five years, two years remaining. The facility resets on 15 October. The bank has offered either a six-month extension on the same grid or a refinance into a two-year fixed rate of 8.90 percent all-in. The treasurer has a one-year overnight-index swap quote that would lock the floating leg at about 5.72 percent before the credit spread. That swap quote is a case assumption for classroom arithmetic, not a published market print.

Meera has been CFO for three years. The audit committee chair is a former bank treasurer who dislikes narrative without a number on it. The managing director wants the festival pipeline funded and does not want a refinancing conversation to become a strategy conversation. Those two preferences are the actual decision.

Exhibit 4. Composite facility (classroom figures only)

Piece	Amount	Price	Tenor left
Working capital	■400 cr	Repo + 165 bps	Annual review
Term loan	■800 cr	3-month T-bill + 180 bps	2 years
Fixed refinance offer	■1,200 cr	8.90% all-in	2 years
OIS quote (case assumption)	on floating leg	~5.72% before spread	1 year
Interest cover / covenant	5.4x	Floor 4.0x	Quarterly
Last-year PBT	■310 cr	—	—

These rows are constructed for the case. They are not filings.

7. The arithmetic the committee will ask for

Twenty-five basis points on 1,200 crore rupees is 3 crore rupees a year, before tax. That is the number that belongs in the first line of the one-pager. It is also the number most likely to be misused. It assumes the whole facility is floating, that the reset passes the hike one for one, and that utilisation stays at the limit. Working capital is not always fully drawn. In a normal October it is. Meera should show both the limit case and a 70 percent utilisation case. At 70 percent of 1,200 crore, the same 25 basis points is 2.1 crore.

The stance is the second line. If the committee delivers one further 25 basis-point hike before March and nothing is hedged, the unhedged bill on the full facility is 6 crore rupees a year relative to the pre-hike rate, once both steps have reset. Against PBT of 310 crore, 6 crore is about 1.9 percent of pre-tax profit. Call it two percent in the room. It will show in the margin bridge. It will not, by itself, threaten the 4.0 times covenant. A rough pass: if cover is 5.4 times and the rate on the floating book rises 50 basis points, interest expense rises by about 6 crore on a full draw, and cover moves to roughly 5.1 times, still inside

the covenant. The case invites students to rebuild that ratio from an assumed interest bill rather than to treat 5.1 as a filed number.

The fixed offer has to be compared with the floating stack, not with the repo alone. Repo at 5.50 plus 165 basis points is 7.15 percent on working capital. A three-month treasury bill that sits somewhere near the new corridor, plus 180 basis points, is the term-loan stack. The case does not invent a treasury-bill fixing; it asks students to state the assumption. An 8.90 percent two-year fixed rate is insurance against a further hike and against spread widening. It is expensive if December is a pause and the treasury bill softens. The one-year swap at 5.72 percent before spread, a classroom quote, locks the index and leaves the credit spread open. That is a different product from the bank's fixed refinance, and the audit chair will notice if Meera calls both of them "a hedge."

Exhibit 5. Interest bill under three public paths

Path	Extra annual interest on ■1,200 cr	Versus ■310 cr PBT
Hike already delivered, +25 bps	■3.0 cr	~1.0%
One further +25 bps before March	■6.0 cr vs pre-hike	~1.9%
Pause in December, no further hike	■3.0 cr vs pre-hike	~1.0%
70% utilisation, +25 bps only	■2.1 cr	~0.7%

Arithmetic on composite amounts. Not a forecast of the December resolution.

8. Working capital is the quieter risk

Debtor days of 52 are not a crisis. They are a festival pattern. General trade asks for credit in October and pays in December, if the season is ordinary. A 25 basis-point hike does not change that calendar. A bank that is being told, in public, that 18 to 19 percent credit growth is above the sustainable range might. Drawing power is a function of eligible stock and debtors, the margin, and the sanction limit. If the sanction is rolled for six months on the same grid, Meera has price risk and not limit risk. If the bank uses the extension conversation to trim the limit, she has a cash problem that the interest-cover ratio will not see until it is late.

The half-year commentary should not say "the RBI hike will not affect us." It can say that the floating facility resets in October, that the interest sensitivity is disclosed, and that working-capital drawing power is reviewed with the lending bank against festival receivables. That sentence is true of the composite. It is also the sentence a real CFO is allowed to say without inventing guidance.

9. The decision

Three options are on the table. None is labelled correct in the teaching note.

Option A — fix the whole 1,200 crore at 8.90 percent for two years. Certainty of coupon. Regret if the December meeting is a pause and the curve does not deliver the second hike the stance has made discussable. The managing director will call this expensive. The audit chair will call it explainable.

Option B — swap only the 800 crore term loan for one year, leave working capital floating. Matches the tenor of the debt whose principal is known. Leaves the festival line able to shrink if drawing falls in January. Requires hedge documentation the auditor will test. The 5.72 percent quote is a case assumption and must be labelled as one.

Option C — stay floating and write the pause case. The trigger is the next CPI print and the December resolution, not a feeling about the Governor. The one-pager states the 3 crore already in the bill, the 3 crore that would arrive with a second hike, and the covenant headroom. This is the option that looks brave in a classroom and thin in an audit committee if the trigger is not written down.

A fourth move is administrative and should not be confused with a view: ask the bank, in writing, whether the six-month extension preserves the working-capital sanction. Price and limit are different risks. Students who hedge the index and ignore the sanction have answered the wrong question.

10. What AI may draft, and what it may not sign

A model can lay out Exhibit 5, draft the half-year sentence, and list the documents an auditor will ask for if Option B is chosen: hedge designation, the hedged item, the hypothetical derivative, effectiveness method, and the board minute. A model cannot sit in front of the audit committee on 16 October and say which regret the board will own. That is the line this series repeats because the week keeps proving it.

AI generates. Data informs. Finance measures. Accounting verifies. Human judgment decides.

11. Discussion questions

1. Using only the RBI resolution, what has the committee promised, and what has it refused to promise, by moving to calibrated tightening?
2. Why can the Reserve Bank raise the FY27 growth forecast and the repo rate on the same morning? What would falsify that combination by December?
3. Compute Malabar's extra interest under full draw and under 70 percent draw. At what further hike does cover approach 4.0 times, and what assumption does that calculation hide?
4. Is the 8.90 percent fixed refinance a hedge, a new loan, or both? How should the audit committee hear the difference from the one-year swap?
5. Deputy Governor Swaminathan's remark on sustainable credit growth is not about Malabar. Why does it still belong in Meera's working-capital paragraph?
6. Write the half-year sentence you would allow, and the sentence you would strike. Explain the difference without using the word "optics."
7. If the December meeting pauses, which option ages best, and which number in Exhibit 5 becomes the regret?

12. Teaching note (short)

Use the first twenty minutes on the resolution, not on Malabar. Students should be able to say 5.50, 5.25, 5.75, unanimous on the rate, four to two on the stance, cuts off the table, hike or pause ahead. If they cannot, the case arithmetic is decoration.

The second block is the bill. Do not accept "not material" without the two percent of PBT on the table. Do not accept "covenant risk" without the distance from 5.4 times to 4.0 times. The interesting risk is drawing power, and it is interesting because it does not appear in the interest line.

Close on Option B as the cleanest teaching answer, not as the mandated corporate answer. It separates index risk from credit-spread risk, matches tenor, and forces a documentation discussion. Students who

pick A should be asked what they are paying to avoid explaining a pause. Students who pick C should be asked to read their trigger aloud. If the trigger is “we will see,” they have not decided.

A note on sources. Where a wire service and the Governor’s rounded language differ by a few basis points on August CPI, prefer the Governor’s 4.8 and 4.5 in speech, and footnote the finer print. Do not import the early-October secondary note that described a hold at 5.25 percent. The resolution of 7 October is the document.

13. Sources

Reserve Bank of India, Monetary Policy Statement, 2026–27, Resolution of the Monetary Policy Committee, 5 to 7 October 2026, press release dated 7 October 2026.

Reserve Bank of India, Governor’s Statement, 7 October 2026, Shri Sanjay Malhotra.

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The Hindu, “RBI hikes repo rate by 25 basis points to 5.5%,” 7 October 2026.

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Businessworld, “RBI Raises FY27 GDP Growth Forecast To 7.1%, Inflation Projection To 5.2%,” 7 October 2026.

CNBC-TV18, “RBI MPC October 2026: FY27 inflation forecast raised to 5.2%,” 7 October 2026.

Composite disclaimer. Malabar Consumer Products Ltd, Meera Iyer, the facility spreads, the 8.90 percent refinance, the 5.72 percent swap quote, coverage ratios and PBT are constructed for teaching. They are not disclosures of any company.

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14. Transmission, in the language a lender uses

A policy rate is not a coupon. Transmission runs through the external benchmark on retail and micro and small enterprise loans, through the treasury-bill and certificate-of-deposit curve on wholesale floating facilities, and through the sanction desk on limits. Malabar’s working-capital piece is written as repo plus a spread, so the 25 basis points arrives on the reset date by contract, not by the bank’s mood. The term loan is written off the three-month treasury bill. That fixing can move by more or less than 25 basis points, depending on where the bill already sat relative to the old repo. Students who add 25 basis points to both pieces without stating that distinction have simplified the case into a speech.

The money-market print on 7 October is the caution. Weighted overnight was 5.33 percent on a day the repo was set at 5.50. SDF absorption cleared at 5.25. The one-day variable-rate reverse repo cut off at 5.49. A reset that references repo will step up by the full hike. A reset that references a market bill might already have priced part of the move. Meera’s one-pager should show the contractual step and the market step as two lines, not one.

BusinessLine reported that the Reserve Bank expects transmission of the hike to temper credit growth in coming quarters. That is a system sentence. For a single borrower it becomes a question to the relationship manager: is the October review a price conversation or a limit conversation? The case

expects students to draft that question, not to invent the bank's answer.

15. What the auditor will ask if she swaps

Option B is an overnight-index swap designated, if the documentation is done, as a hedge of interest-rate risk on a recognised floating liability. The classroom does not require a full Ind AS 109 workbook. It requires the CFO to know which file the auditor opens. The file contains the hedged item (the 800 crore term loan), the hedging instrument (the one-year swap), the nature of the risk (the index, not the credit spread), the method for assessing effectiveness, and the board or committee approval. If the designation memo is dated after the board meeting that "noted" the swap, the story is weaker than the economics.

A fixed refinance is not a derivative. It is a prepayment and a new loan, with breakage costs if the old facility is closed inside its window, and with a new set of covenants if the bank rewrites them. Students who present Option A as "we hedged" should be stopped. They refinanced. The disclosure is a debt note, not a derivatives note. Both can be sensible. They are not the same paragraph in the half-year accounts.

Accounting verifies. That line in the series philosophy is not a slogan in this case. It is the difference between a swap that qualifies and a swap that becomes a speculative line in the profit and loss because nobody wrote the designation down.

16. A one-page board memo, as Meera might table it

The memo below is a teaching draft. Numbers in it are the composite figures already defined. It is written so students can mark it up, not so they can file it.

To the audit committee, 16 October 2026. The Reserve Bank raised the repo rate to 5.50 percent on 7 October and moved the stance to calibrated tightening. Our 1,200 crore floating facility resets on 15 October. On a full draw, 25 basis points is 3 crore rupees of extra interest a year. A second 25 basis-point hike, if it comes, would take the unhedged gap versus the pre-hike rate to 6 crore, about two percent of last year's profit before tax. Interest cover moves from 5.4 times toward roughly 5.1 times on that second step, against a 4.0 times covenant. I do not propose to treat covenant breach as the central case.

I do propose to separate price from limit. I have asked the bank to confirm in writing that a six-month extension preserves the working-capital sanction through the festival receivable cycle. Debtor days are 52. System credit growth is 18 to 19 percent, against a 12 to 14 percent range the Deputy Governor described as generally sustainable. That is why the confirmation matters.

On price, I table three options and a recommendation to discuss, not a recommendation to rubber-stamp. Fixing all 1,200 crore at 8.90 percent for two years buys a number and sells the pause. Swapping the 800 crore term loan for one year at the quoted index of about 5.72 percent before spread, a quote we must label as a dealing quote and not as a published fixing, leaves working capital floating and forces hedge documentation before we sign. Staying open, with a written trigger tied to the next CPI print and the December resolution, is defensible only if this committee accepts the trigger as a decision rule. I will take the committee's regret tolerance and come back with the document that matches it. I will not describe a refinance as a hedge.

17. What would change the recommendation

Four public facts would reopen the page. First, a December resolution that pauses and describes inflation as contained would make Option A look like insurance bought after the fire was out. Second, a CPI print that validates the 6 percent Q3 path CNBC-TV18 reported would make Option C look thin. Third, a sanction letter that cuts the working-capital limit would dominate the price debate: Meera would then be raising cash or stretching payables, and the swap would be a side memo. Fourth, a move in the three-month bill materially away from the new repo would change the gap between Option A and the floating stack. None of these is known on 9 October. The case is about deciding with the resolution in hand, not about waiting for a cleaner one.

Forex reserves of 734.6 billion dollars, eleven months of import cover, do not belong in the interest-rate recommendation except as a reason not to panic about the external account. FDI of 13.8 billion dollars in five months is the same kind of fact. FPI outflows of 10.3 billion dollars explain why the currency can still move on a quiet domestic day. Malabar's facility is rupee-denominated. Students who drag the reserve number into the hedge ratio are changing the subject.

18. A classroom worksheet

Complete the sheet before the discussion, in ink. Policy repo after 7 October: _____. SDF: _____. MSF and Bank Rate: _____. Stance: _____. Rate vote: _____. Stance vote, as reported: _____. FY27 GDP forecast: _____, from _____. FY27 CPI forecast: _____, from _____. August CPI, Governor's rounding: _____, from _____. Forex reserves, 2 October: _____. Credit growth, Mint / Deputy Governor: _____. Overnight weighted average, 7 October: _____. Extra interest, 25 bps on 1,200 crore: _____. Extra interest, two hikes, full draw: _____. Covenant floor: _____. Cover now: _____.

Then one sentence you would allow in half-year commentary, and one sentence you would strike. Bring both to class. The striking is the exercise. Most drafts fail by saying more than the resolution said.

19. How this sits in the series

Earlier briefings in this series have asked who owns an AI budget, how a reporting map changes when the metric changes, and what a CFO signs when an agent drafts. Today's briefing is older than those questions and still prior to them. A floating reset does not care that the sensitivity table was drafted by a model. The audit committee will ask who chose the hedge. The philosophy line is the close because it is the job description: AI generates, data informs, finance measures, accounting verifies, human judgment decides.

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20. A note on the conflicting hold story

Students who search the week of 7 October will find at least one secondary item that still describes a hold at 5.25 percent and a neutral stance. That item is not used in this case. The document that governs is the Monetary Policy Statement dated 7 October 2026, which records a unanimous increase to 5.50 percent and a change of stance to calibrated tightening, together with the Governor's statement of the

same morning and the money-market release of 8 October that already shows SDF at 5.25 percent and MSF at 5.75 percent. When sources conflict, the case prefers the central bank's own release over a recap that appears to describe an earlier meeting. Teaching this preference is part of the assignment. A CFO who prices a reset off a stale recap will be early to the board and wrong in the room.

The same discipline applies to August inflation. The Governor's statement, as reported by BusinessLine, used 4.8 percent in August and 4.5 percent in July. A wire service printed 4.82 and 4.45 and described a 22-month high. Both can be true as rounding and as a finer print. The case speaks in the Governor's rounding when it is quoting him, and it does not build a trading view on the second decimal.

21. Festival quarter, without inventing a demand shock

Nothing in the 7 October resolution says festival demand has broken. The growth forecast was raised, not cut. Malabar's problem is not a volume collapse. It is a funding calendar that collides with a reset. Packaged foods and home care, in this composite, invoice general trade in October against December collections. Modern retail pays faster and asks for promotional funding that sits in the margin, not in the debtor book. A student who writes "demand will fall because rates rose" has imported a textbook multiplier the Governor's own forecast does not support this week. A student who writes "collections may slip if the trade uses the hike as a reason to delay" has named a behaviour, not a macro identity, and should label it as a risk to watch rather than as a fact already in the resolution.

Pricing power is the other half. Food inflation in the CPI basket is not the same as Malabar's input basket, but it is the conversation the sales head will bring. If the firm takes price in November to cover grain and packaging, the treasurer should not also promise the board that working-capital days will fall. Price increases and longer trade credit often travel together for a quarter. The one-pager can note that. It should not quantify a price increase the sales head has not agreed.

22. Suggested exhibit for the slide pack

The daily deck that accompanies this case carries ten slides: the decision, the corridor, the forecast revision, reserves and credit, the money-market print, the composite facility, the bill, the three options, the judgment line, and the source list. Students should be able to reconstruct Exhibit 1 from memory after the deck. If they cannot, the deck has failed and the case has not yet started. The audio briefing is the same argument in spoken Indian English, timed for a commute, and it labels Malabar as composite in the same breath as the facility. That label is not courtesy. It is the condition on which the arithmetic is allowed to be specific.

23. Closing

On 9 October 2026 the fact pattern is stable enough to teach. The repo rate is 5.50 percent. The stance is calibrated tightening. Growth for FY27 is forecast at 7.1 percent. CPI for FY27 is forecast at 5.2 percent. Reserves are 734.6 billion dollars. Credit is growing near 18 percent. A composite CFO has a reset on 15 October and a board on 16 October. She can measure the bill. She can ask the bank about the limit. She can refuse to call a refinance a hedge. She cannot know the December vote. The case ends where her job begins.

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Appendix. Dates a student should not mix up

5 to 7 October 2026: the 63rd MPC meeting. 7 October: resolution, Governor's statement, press conference. 8 October: money-market operations release for the 7th. 2 October: the reserves date cited by Mint, 734.6 billion dollars. 15 October: composite facility reset. 16 October: composite board. December: the next policy meeting the case uses as a trigger, not as a result. FY27 in this case means the year 2026–27, the year the Reserve Bank was forecasting on 7 October. Students who write FY26 on the chart have slipped a year and should correct it before they present.